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rising affluence. Poorer countries are typically less urbanised than richer ones. According to the United Nations, of the world's 10 most populous countries, the urban share of population in 1950 ranged from 64 per cent in the United States to 4 per cent in Bangladesh. At that time India was estimated to be 17 per cent urban (out of a population of 357 million). China was just 12 per cent urban.

In the next 50 years, most countries had increased their urban share while India's urbanisation ratio was less than what most demographers had projected, even though the overall growth of the population was almost on target. Despite this sluggish evolution, the sheer size of India's population means that India already has the second largest urban population in the world. Slow urbanisation also means that there is every prospect of rapid growth in this population. A conservative current estimate is that India would be 45 per cent urbanised by 2050.

As pointed out in a recent joint publication by the National Council for Applied Economic Research (NCAER) and Future Capital Research, this could imply that 379 million people will be added to India's urban spaces over the next 40 years: more than the entire population of the United States today. It also implies that India would account for a fifth of the increase in the world's urban population till 2050—more than any other single country. Even at this level, India would still be less urban than Japan in 1950, or Indonesia in 2000. Before I explore its implications, it may be helpful to provide a few definitions.

The Census defines as urban "all places with a municipality, corporation or cantonment or notified town area" as well as other places which satisfy the following criteria—a minimum population of 5,000 and at least 75 per cent of the male working population engaged in non-agricultural activities and a population density of at least 400 per sq km.

It is clear from this definition that the urban share of the population can increase either through increased density within existing urban boundaries, or through the reclassification of areas, previously defined as rural, that exist on urban borders. Equally, the urban population increases through a combi-

nation of natural growth in its population and also through rural to urban migration.

It is generally believed that the slower than projected growth of the urban population since the '70s is primarily due to slower migration. This runs contrary to the belief that India's cities are being overrun by rural migrants. Nor is there a clear consensus among economic and demographic professionals on whether this is a welcome or an unwelcome trend.

On the negative side, it is argued that slow migration indicates a failure of cities to produce attractive jobs. As a consequence, labour remains stuck in low productivity agricultural activities with limited opportunities for increases in productivity and income. A more hopeful interpretation points to the fact that rural wages have continued to increase steadily, and infers that slower than expected migration is a sign that the differences in real standards of living between the town and the country have been narrowing. Only additional research, including data from the next Census, will settle these debates conclusively.

What we do know, based on the Planning Commission's estimates of the population below the poverty line in 2005, is that adjusted for differences in price levels (be-

tween states and between urban and rural areas), there is a negligible difference between rural and urban consumption poverty rates, both close to the all-India estimate of 22 per cent. NCAER's own estimates show a slightly wider gap, with the urban poverty rate three percentage points lower than the rural.

So, a rising tide of urbanisation awaits us. The challenge is to ensure that this tide lifts all boats, rather than overwhelming us in a tsunami of poverty, congestion and urban decay. Our policies need to be driven by three broad concerns—improve linkages between the city and its hinterland; make our towns a productive setting for growth, entrepreneurship and innovation; and develop a distinctive approach to addressing issues of urban poverty with the same energy we have traditionally devoted to rural poverty. Of course, beyond a point, cities cannot generate growth by themselves. They

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Reaching for the
sky: A rising tide of
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